

Economic Implications of Canada's Aging Population

The population of Canada is getting older quickly as the big baby boomer generation starts to retire. This change in demographics has effects that reaches across various sectors, such as increased healthcare expenses, transformations in the job market, and strains on pension funds. Below, we discuss each impact area in detail, with subcategories that showcase trends and forecasts for the next five years, along with pertinent policy factors to consider.

Healthcare Costs

Rising Healthcare Demand and Costs

As society grows older there is a rise in the need for healthcare services. The elderly tend to utilize healthcare services the most making up over 40% of the funds allocated to healthcare despite being a portion of the population. The expenses related to healthcare per person increases with age (for instance individuals aged 65 and above incur costs that are several times higher than those of younger adults) thus contributing to an overall increase in healthcare expenditures, as the population ages. The increasing number of individuals led to a \$93 billion rise, in healthcare expenses between 2017 and 2026 which accounted for roughly one fifth of the overall growth in healthcare expenditure, during that period.

The continuous growth of the aging population is expected into the foreseeable future. For example, about 23 percent of Canadians would be aged 65 years or older by the year 2030 (up from the 19 percent in 2023). This percentage change will make an increased need for health and drug services in the future, as well as more long-term care facilities in the coming years. Looking towards the next five years, healthcare spending will still grow faster than the growth rate of the working-age population, which would also strain health budgets in the coming years in most parts of Canada.

Financing Challenges and Policy Responses

As more people age, healthcare costs go up, but the money to pay for it doesn't grow as fast. With fewer people in their prime working (and tax-paying) years, the government collects less revenue just as expenses start rising. For example, a report from the Conference Board pointed out that an aging population means fewer workers, which leads to lower tax revenues, even as healthcare costs keep climbing.

It exerts pressure on the budgets of government and might be led to tax or spending difficult choices if right measures were not taken. Policymakers have engaged in development plans for alternatives to bring down costs or effecting efficiency in the delivery of health services. The rationale behind this is such an idea as moving care into less costly settings-for example, investing in care at home and in the community as opposed to costly institutional or hospital care. Currently, Canada lags some of its peer countries in terms of home care; indeed, approximately 18 percent of long-term care spending is on home care, whereas countries such as Denmark and Norway have figures closer to 50 percent.

To control expenses effectively in the healthcare system and support the increasing population without sacrificing services in the next five years requires focusing on enhancing home and community care services and encouraging healthy aging practices while considering collaborations, between federal and provincial health funding agencies and implementing innovative approaches, like new technologies or integrated care models.

Labour Market

Retirements and Labour Supply

Canada's aging population is already having a noticeable impact on the labour market through a **wave of retirements**. The country is seeing record numbers of people leaving the workforce, which is creating labour supply gaps in many industries. In 2022, for example, retirements spiked – an estimated 266,000 people retired in a 12-month period, a 17% increase over prior years. This trend is expected to continue as the last of the baby boomers reach their mid-60s. By 2025, the number of Canadians aged 65 and older will have grown by about 1 million, potentially resulting in **roughly 900,000 workers leaving their jobs between 2022 and 2025**, a 50% jump in retirements compared to the previous decade's average.

Never before has Canada had so many people on the edge of retirement: over one in five working-age Canadians (21.8%) is now aged between 55 and 64 years of age-an all-time high causally related to labour shortages in various sectors... A tighter labour market ensues: employers might be having trouble attracting experienced workers, job vacancy rates remain still high, and wage pressures might escalate as firms compete for a limited pool of talent. Economists expect the overall labour force participation rate will generally keep declining for the rest of the 2020s, reaching a low around 2030, when the youngest boomers turn 65.

Immigration and Workforce Participation

To counteract the effects of population aging on the labour market, Canada is pursuing policies to boost the labour force. **Immigration is the primary tool being used to fill the emerging workforce gap.** In recent years Canada has set record-high immigration targets – for example, the government aims to welcome roughly **1.5 million new permanent residents from 2023 to 2025**, most of them in their prime working ages.

This influx of young workers is intended to offset the mass retirements; indeed, the planned economic immigrants over the next three years nearly equal the expected number of retirees in that period. These high immigration levels, along with increased numbers of temporary foreign workers and international students, should help sustain labour force growth in the short term. However, immigration alone cannot completely reverse population aging, since newcomers also age and many arrive as adults.

Therefore, other measures are important as well. One strategy is **encouraging higher labour force participation among underrepresented groups**, such as older workers, women, and minority populations. Notably, participation rates for Canadians over 55 have been rising in the past two decades as more seniors choose to keep working longer.

Both the abolishment of mandatory retirement as well as the option of deferring pensions have allowed healthy older Canadians to carry on working longer, which is a partial alleviation of the labour shortages being felt. Even so, they open the budgets for more and greater supports that enable more people to work. For example, even as it works to expand affordable childcare through a \$10-per-day childcare program, it should better equip parents, particularly women, with increased opportunities for joining and remaining in the labour force-with the intervention of possibly hundreds of thousands of workers in the coming years.

Conjoining the deferment of pensions with the abolition of compulsory retirement has enabled healthy older Canadians prolonging their career life, which helps alleviate labor shortages to some extent. Governments are also channeling funds in devising incentives for increased corporate attendance for example: affordable childcare (10 dollars a day childcare program) is to facilitate entry and retention in the workforce, especially among parents wherever hundreds of thousands more workers will be added in the years to come.

Additionally, there is a focus on skills training and productivity enhancements – with fewer workers relative to the population, improving **productivity** through innovation and upskilling becomes crucial for economic growth. In summary, immigration, delayed retirement, and workforce development policies form a multifaceted

response aimed at maintaining a robust labour market in the face of demographic aging.

Pensions

Rising Public Pension Expenditures

Canada's aging population directly increases the burden on public pension programs. The two main pillars of public retirement income are Old Age Security (OAS, with the income-tested Guaranteed Income Supplement) and the Canada Pension Plan (CPP/QPP). A growing cohort of seniors means more beneficiaries drawing these pensions, and they are drawing them for longer periods due to rising life expectancy. OAS is funded from general tax revenues, making it especially sensitive to demographic changes. **Projections show that OAS expenditures will rise substantially over the next five years and beyond.** In 2023, OAS pension payouts equaled about 2.7% of GDP, and this cost is **projected to reach roughly 3.0% of GDP by the early 2030s** as the baby boom retirement wave peaks.

In dollar terms, OAS spending is expected to increase from about \$78 billion in 2023 to well over \$100 billion annually by the end of this decade. The CPP, by contrast, is funded by worker and employer contributions (invested via the CPP fund) and has undergone reforms to ensure long-term solvency, so it is on more stable footing. Even so, a declining ratio of workers to retirees poses challenges. In 1966 there were 7.7 working-age Canadians for every senior; this ratio fell to 3.4 by 2022 and is forecast to drop to only about **3 workers per senior by 2027.**

Fewer workers per retiree implies relatively fewer contributors for each pensioner, putting pressure on pay-as-you-go systems like OAS and on the willingness of the working population to finance benefits. Policymakers must consider how to keep public pensions sustainable as costs mount. Options discussed include gradually increasing the age of eligibility for benefits, adjusting contribution rates (for CPP/QPP), or using general revenues to cover shortfalls. Notably, a previous plan to raise the OAS eligibility age from 65 to 67 (which was later reversed) **would have significantly reduced the fiscal strain** – the reversal is estimated to add **\$11.6 billion in annual OAS/GIS costs by 2030 (about 0.33% of GDP).**

It directly impacts the budget in terms of analysis for the retirement age and parameters of benefits. Coming into a state of full maturity within the next five years, with concomitant increase in the cost of OAS approaching the peak share of GDP, the federal government will be engaged in a concerted effort to mitigate those impacts on pension expenditures through fund transfers, increased deficits, or different avenues of revenue generation-all leaving their respective economic trade-offs.

Retirement Income Adequacy and Sustainability

Besides government budgets, the aging population poses a potential threat to the retirees' economic well-being and sustainability of retirement incomes. As an increasing number of Canadians are retiring, income for a comfortable living becomes more and more relevant from a policy and economic point of view. Thus far, Canada has managed to keep its elderly poverty rate at a relatively low 6-7%, largely because of the public pension system and some private savings--however, this situation might change as the demographic ratios shift. Elderly poverty is a social issue, but at the same token, as the general population over 65 increases in size, it also starts to become a fiscal issue. The majority of seniors tend to depend on income from OAS/GIS, especially those without considerable private pensions; thus, an increasing senior population could put more burden on income support programs.

At the same time, the trend is in pension provision in moving towards a reduction of defined-benefit employer pensions to employees and towards defined-contribution plans and individual savings. This will indeed shift more risk on the individual--should their savings or investment underperform at retirement, it is likely that many retirees would need some public financial assistance or would reduce consumption in the economy.

To promote retirement income security, policymakers are looking at measures such as improving financial literacy and savings incentives (e.g. RRSP/TFSA tax-sheltered saving programs) and strengthening workplace pension coverage. Some provinces and employers are exploring auto-enrollment pension plans or supplemental plans to help workers save more. From a sustainability perspective, keeping older Canadians engaged in the labour market longer can also improve retirement readiness, as additional working years mean more contributions and shorter retirements to finance.

This would allow for an increasing amount of financial assistance to the aged senior population while addressing the associated economic issues arising from a shrinking workforce. This could mean increasing pension benefits to those with the highest need (like the recent GIS enhancements for lower-income seniors) while at the same time keeping the scheme strong and sustainable for future generations. There is another area where policy efforts must be directed in catering to the changing age structure: older Canadians should be able to sustain a productive life without imposing an excessive cost. In offering assistance, balance between economic feasibility and the social needs conferred to it will become more and more challenging as the population starts aging.

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